

point of time, but tend to be concentrated at intervals, *i.e.*, during periods of general depression. Hence the typical investment hazard is roughly similar to the conflagration or epidemic hazard, which is the exceptional and incalculable factor in fire or life insurance.” (Chap. 7, emphasis added) [So much for assessing risk and the adequacy of return on the basis of supposedly reliable quantitative models.]

“Among [the aspects of the earnings picture to which the investor would do well to pay attention] are the *trend*, the *minimum* figure, and the *current* figure. The importance of each of these cannot be gainsaid, but they do not lend themselves effectively to the application of hard and fast rules.” (Chap. 9)

“The investor . . . will be *attracted* by: (a) a rising trend in profits; (b) an especially good current showing; and (c) a satisfactory margin over interest charges in *every* year during the period studied. If a bond is deficient in any one of these three aspects, the result should not necessarily be to condemn the issue but rather to exact an average earnings coverage well in excess of the minimum and to require closer attention to the general or qualitative elements in the situation.” (Chap. 9)

“If [a ratio of] \$1 of stock to \$1 of bonds is taken as the ‘normal’ requirement for an industrial company, would it not be sound to demand, say, a \$2-to-\$1 ratio when stock prices are inflated, and conversely to be satisfied with a 50-cent-to-\$1 ratio when quotations are far below intrinsic values? But this suggestion is impracticable for two reasons, the first being that it implies that the bond buyer can recognize an unduly high or low level of stock prices, which is far too complimentary an assumption. The second is that it would require bond investors to act with especial caution when things are booming and with greater confidence when times are hard. This is a counsel of perfection which it is not in human nature to follow. Bond buyers are people, and they cannot be expected to escape entirely either the enthusiasm of bull markets or the apprehensions of a severe depression.” (Chap. 11)